processed even when you do not have enough money in your account to cover the purchase. The catch is that you typically need to pay a fee of around $30 each time you use overdraft protection.

For example, let's say you are going to receive your $800 paycheck on Friday and have a bunch of purchases you plan to make. On Thursday, for whatever reason, you think it is Friday and mistakenly believe that you have $850 in your checking account, when you actually only have $50. You go out and make some purchases in the order shown in Figure 2.2.

HTA BANK

| Date | Description | Withdrawals/Debits | Remaining Balance |
|---|---|---|---|
| 10/15/2020 | Gas | $30 | $20 |
| 10/15/2020 | Coffee | $5 | $15 |
| 10/15/2020 | Groceries | $40 | -$25 |
| 10/15/2020 | Cell Phone Bill | $100 | -$125 |

***Figure 2.2. Sample bank statement***

First, if you have not seen one before, Figure 2.2 is an example of what a bank statement looks like. It provides a list of the transactions on your account. Each time you make a withdrawal, or debit, it lowers your remaining balance. The **balance** is the amount of money that is in the account. In this example, the numbers in gray represent a negative balance on the account.

Because you started with $50 in your account, you were able to afford the gas and coffee. However, when you bought the groceries, it put your account into a negative balance and your overdraft protection kicked in. This means the bank either pulled money out of another one of your accounts (like a savings